

HB 2397 -- PUBLIC WATER SUPPLY DISTRICTS

SPONSOR: Bromley

COMMITTEE ACTION: Voted "Do Pass" by the Standing Committee on Utilities by a vote of 19 to 1. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 11 to 0.

Currently, a decree of dissolution to dissolve a public water supply must be passed by a majority of two-thirds of the voters of the district voting on the proposition. This bill reduces the percentage of voters needed to pass the dissolution decree to a majority of four-sevenths of the voters.

This bill requires that a petition for a dissolution of a public water supply district state that an agreement for sale of the district's assets has been entered into by the board of directors contingent upon approval of the circuit court and voters.

Unless the petitioners for the dissolution of the district prove that there is an agreement for sale of the district's assets entered into by the board of directors that would permit all debts and financial obligations of the district be paid in full upon dissolution and provide for the continuation of water supply to the inhabitants of the district, the petition is to be dismissed at the cost of the petitioners.

At their discretion, the board of directors can approve a change in the vote threshold to a majority of four-sevenths of the voters of the district voting on the proposition for dissolution.

Current law states that no district will be dissolved until after all of its debts have been paid. The court, in its decree of dissolution must provide for the disposition of the property of the district. This bill clarifies that the decree of dissolution must provide for the disposition of the property of the district, which can be applied pro rata toward the payment and satisfaction of the taxes of the residents and property owners of the district on their respective personal and real property tax bills for the next ensuing years.

This bill is similar to HB 923 and SB 365(2025).

PROPONENTS: Supporters say that public water supply districts are much more costly and complicated than they used to be. It is sometimes not beneficial for a community to maintain ownership of the water system. Often, smaller communities are burdened by the

cost of doing this. There are a number of existing safeguards in place to ensure widespread support for selling the district; this bill adds additional safeguards but gives the board the ability to make one of those steps more achievable.

Testifying in person for the bill were Representative Bromley; Matt Jessee, Missouri American Water; Missouri Chamber of Commerce and Industry; and Missouri Energy Development Association.

OPPONENTS: Those who oppose the bill say that it is extremely difficult to create a public water supply district and should be equally difficult to sell one. These water systems become significant assets for the communities that create them. There should be widespread agreement in the community to sell this asset. This bill would make it easier to sell a public water supply district than create one.

Testifying in person against the bill were Association of Water Districts; Arnie Dienoff; Timothy Green, Public Water Supply District No. 2 of St. Charles County; and Missouri Rural Water Association.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.